

European service hubs: fund in stages

BOARD DECISION | 2025 SHIPPED-ORDER ECONOMICS

Stage a Czechia + Spain service-hub program

Approve a €225,000, five-FTE envelope in two releases. Open Spain first; hold Czechia’s €95,000 / two-FTE release until the day-90 evidence gate. This pair ranks first on the client’s 25% volume-uplift case and stays positive under the specified joint return/FX stress.

BASE ANNUAL INCREMENTAL CONTRIBUTION €198,099 after €95,000 combined annual fixed cost	YEAR-ZERO CAPEX €225,000 €225k below €450k ceiling	SIMPLE PAYBACK 1.14 y undiscounted, if base contribution persists	DEFINED JOINT STRESS €32,180 positive; lower than NLD + ESP's €107.6k
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Why this choice

- Highest feasible base-case annual contribution among six singles, eleven feasible pairs and defer.
- Low case remains positive at €64.6k; stress remains positive at €32.2k.
- Uses 5 of 7 FTE, €225k of €450k capex and assumes no pair synergy.

What would change it

If the board sets a €50k minimum for the defined joint stress and otherwise ranks qualifying options by base contribution, choose **NLD + ESP**. It is the highest-base option clearing that floor: €107.6k stress versus €32.2k, giving up €31.2k in base and using €45k more capex plus one FTE.

The contribution uplift and cost savings are client planning assumptions, not observed hub results. Keep the Czech release conditional.

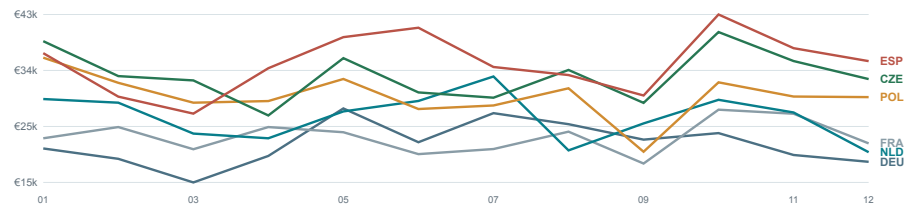
Basis: synthetic order/return/cost exports and synthetic hub assumptions; archived official ECB and World Bank snapshots. No live customer records, interviews or pilot outcomes were accessed.

The 2025 shipment base is strongest in Spain and Czechia

Decision signal. 1,254 eligible shipments produced €4.08m gross sales and €2.03m contribution after refunds, recovered-cost treatment and nonrefundable fulfillment. Spain and Czechia had the largest country contributions, €421.9k and €397.3k.

Country	Orders	Units	Gross sales	Refunds	Net sales	Net COGS	Fulfillment	Contribution	Returned units	Margin
DEU	209	12,153	€631,244.76	€5,453.00	€625,791.76	€349,980.50	€13,445.70	€262,365.56	73	41.9%
FRA	209	11,880	€640,929.94	€8,699.04	€632,230.90	€341,453.00	€14,506.80	€276,271.10	144	43.7%
NLD	209	12,576	€709,108.84	€11,376.00	€697,732.84	€365,495.50	€16,593.12	€315,644.22	144	45.2%
POL	209	13,163	€776,507.79	€14,617.92	€761,889.87	€386,697.50	€18,698.49	€356,493.88	180	46.8%
CZE	209	13,733	€834,572.08	€19,264.61	€815,307.47	€397,062.00	€20,910.22	€397,335.25	288	48.7%
ESP	209	13,931	€872,258.92	€21,420.00	€850,838.92	€406,230.50	€22,707.95	€421,900.47	252	49.6%
TOTAL	1,254	77,436	€4,464,622.33	€80,830.57	€4,383,791.76	€2,246,919.00	€106,862.28	€2,030,010.48	1,081	46.3%

Monthly contribution, EUR



What the figures mean

Gross sales are the order’s quantity × local price less discount, translated at the original shipment month’s ECB monthly mean. Net sales subtract refunds known by 31 Jan 2026. Contribution then subtracts net COGS (including recovery only for restocked units) and actual nonrefundable fulfillment.

Booked revenue ≠ cash ≠ contribution. Net sales are a retrospective shipment/refund measure, not settlement cash; timing, fees, tax and working-capital cash are outside this extract. Contribution also excludes company overhead and any hub’s recurring fixed cost.

Macro context supports comparison, not demand claims

Market context

Market	Population 2022	Population 2024	Change 2022–24	GDP pc 2022 ¹	GDP pc 2024 ¹
DEU	83,177,813	83,516,593	+0.41%	\$50,507	\$56,104
FRA	68,184,457	68,551,653	+0.54%	\$40,989	\$46,103
NLD	17,700,982	17,993,485	+1.65%	\$59,123	\$67,465
POL	36,821,749	36,559,233	-0.71%	\$18,891	\$25,104
CZE	10,672,118	10,905,028	+2.18%	\$28,282	\$31,828
ESP	47,786,102	48,848,840	+2.22%	\$30,319	\$35,327

Population comes from archived World Bank SP.POP.TOTL; GDP per capita from NY.GDP.PCAP.CD. The 2022–24 population change and 2024 income levels are context only: neither establishes aftermarket demand. ¹ Current US dollars per person, not PPP or constant-price income. Missing years remain missing in the machine-readable output.

ECB reference-rate monthly means

Month	PLN per EUR	CZK per EUR
2025-01	4.246655	25.163318
2025-02	4.172225	25.076650
2025-03	4.182010	25.001238
2025-04	4.265220	25.038950
2025-05	4.253800	24.922857
2025-06	4.265771	24.804286
2025-07	4.254148	24.624609
2025-08	4.261305	24.516619
2025-09	4.258886	24.346773
2025-10	4.248791	24.315391
2025-11	4.237635	24.234050
2025-12	4.223857	24.259286

Arithmetic mean of available published business-day observations in each 2025 calendar month. ECB quote is local currency units per EUR and is not inverted. The original sale month's mean is applied to both gross sale and summed refunds. EUR markets use 1.000000.

Context is not demand. Spain (+2.22%) and Czechia (+2.18%) had the strongest 2022–24 population growth among these markets; Poland declined 0.71%. 2024 GDP per capita ranges from \$25.1k in Poland to \$67.5k in the Netherlands. These macro series do not measure vehicle parc, installed base, product eligibility or service-distance economics.

Czechia and Spain lead the single-hub base case

Annual incremental contribution (recurring fixed cost already deducted): low/base/high = $C \times u + U \times (1+u) \times s - F$, where $u=10\%/25\%/40\%$. Simple payback = capex ÷ positive annual incremental contribution; otherwise null. Capex remains a separate year-zero outlay. All single hub options fit the €450k/7-FTE limits.

Hub	Low	Base	High	Stress	Capex (yr 0)	Fixed / year	FTE	Base payback
DEU	–€34,006	€10,089	€54,183	–€13,583	€280,000	€95,000	5	27.75 y
FRA	–€19,476	€27,133	€73,741	€3,098	€210,000	€85,000	4	7.74 y
NLD	€10,832	€64,215	€117,598	€37,623	€140,000	€65,000	3	2.18 y
POL	€25,400	€83,612	€141,825	–€40,743	€110,000	€45,000	3	1.32 y
CZE	€31,457	€95,383	€159,309	–€37,827	€95,000	€40,000	2	1.00 y
ESP	€33,162	€102,716	€172,270	€70,007	€130,000	€55,000	3	1.27 y

Base case and volume sensitivity

Spain is the strongest single option (€102.7k), followed by Czechia (€95.4k). Spain has a 1.27-year simple payback; Czechia 1.00 year. France and Germany have long simple paybacks (7.74 and 27.75 years) under this scenario. Poland's normal cases are attractive, but its defined joint stress is –€40.7k.

CZE + ESP leads at all policy volume points: 10%, 25% and 40%. Extrapolating the linear formula below the 10% low case, deferral leads below about 2.62% uplift, Czechia alone leads from about 2.62% to 2.85%, and CZE + ESP leads above about 2.85%. These breakpoints are computed from fixed synthetic point assumptions, not observed demand ranges.

Stress definition

At 25% volume uplift, the model adds refunds equal to 3% of gross sales with no extra cost recovery and applies a further 10% reduction to net sales in PLN/CZK markets. This is a deliberately conservative joint scenario, not a forecast probability. The FX stress applies to Poland and Czechia only.

The two-hub winner gives up stress protection

All 15 possible pairs were screened; 11 satisfy both €450k capex and seven-FTE limits. Table rows are the 11 feasible pairs plus defer. Pair economics add country outcomes with no synergy; annual fixed cost is included in the scenario totals.

Feasible pair / defer	Low	Base	High	Stress	Capex (yr 0)	Fixed / year	FTE	Base payback
CZE+ESP	€64,619	€198,099	€331,580	€32,180	€225,000	€95,000	5	1.14 y
POL+ESP	€58,562	€186,329	€314,096	€29,264	€240,000	€100,000	6	1.29 y
POL+CZE	€56,856	€178,995	€301,134	-€78,570	€205,000	€85,000	5	1.15 y
NLD+ESP	€43,994	€166,931	€289,869	€107,630	€270,000	€120,000	6	1.62 y
NLD+CZE	€42,289	€159,598	€276,907	-€203	€235,000	€105,000	5	1.47 y
NLD+POL	€36,232	€147,828	€259,423	-€3,119	€250,000	€110,000	6	1.69 y
FRA+ESP	€13,687	€129,849	€246,012	€73,105	€340,000	€140,000	7	2.62 y
FRA+CZE	€11,981	€122,516	€233,050	-€34,729	€305,000	€125,000	6	2.49 y
FRA+POL	€5,924	€110,745	€215,566	-€37,645	€320,000	€130,000	7	2.89 y
DEU+CZE	-€2,549	€105,472	€213,492	-€51,410	€375,000	€135,000	7	3.56 y
FRA+NLD	-€8,644	€91,348	€191,339	€40,721	€350,000	€150,000	7	3.83 y
Defer	€0	€0	€0	€0	€0	€0	0	—

Top base-case pairs



Choice and concession

CZE + ESP leads the base case at €198.1k, €225k capex, five FTE and 1.14-year payback. Its low case is +€64.6k; stress is +€32.2k.

POL + ESP is the closest base alternative at €186.3k (+€58.6k low; +€29.3k stress), but costs €15k more capex and one additional FTE.

NLD + ESP gives up €31.2k in base contribution and uses €45k more capex and one more FTE than the recommendation. It is the best stress and worst-case-floor pair: +€107.6k stress and +€44.0k low. If the board sets a €50k minimum stress floor and otherwise ranks qualifying options by base contribution, NLD + ESP is the highest-base pair clearing that floor.

Capex is a year-zero amount, separate from annual fixed cost. Payback is simple, undiscounted and excludes ramp time.

Release capital against measurable operating gates

Owners below are proposed role assignments for the plan; no actual Meridian employee or customer contact is represented. Site, employment, tax and service constraints require local diligence not present in the frozen data room.

Window / owner	Work and dependency	Decision gate
Days 0–15 COO sponsor ; Finance Controller + BI lead	Re-run the base with actual operational exports; validate order/return join, FX, SKU costs, customer locations and current delivery baseline. Select candidate sites only after lane and lease diligence. Establish one version-controlled metric definition.	Gate 1: no lease or hiring. Finance signs actual baseline and revised low/base/stress; board confirms CZE+ESP or switches under the stress-floor rule.
Days 16–35 EU Operations lead ; Procurement, HR, Legal	Validate site, inventory, staffing, employment/tax, systems, security and service partner costs. Stage Spain first (3 FTE, €130k capex assumption) because the standalone stress case is +€70.0k. Keep spend cancellable pending diligence.	Gate 2: release Spain only if capex remains within €130k plan, staffing within 3 FTE, and the refreshed annual contribution case stays positive in low and stress.
Days 36–65 Spain Hub Manager ; Supply Chain + IT	Launch limited SKU / customer lane pilot; keep central-hub control group and record order timestamps, delivery promise, unit savings, return reasons, stock recovery and actual local fixed costs.	Weekly review: no scale if service is worse than central baseline, actual saving is below €3.00/unit assumption, or refunds exceed the stress allowance.
Days 66–90 COO + CFO ; Czech Operations lead	Review rolling eight-week pilot and build the Czech readiness case. Czech option assumes €2.10/unit savings, €40k fixed cost, €95k capex and two FTE. Continue measurement if uplift is seasonal or inconclusive.	Gate 3: release Czech only when measured run-rate supports ≥25% volume uplift, saving ≥€2.10/unit, refund shock ≤3% of gross sales, combined annual contribution remains positive under defined stress, and total stays ≤€225k / 5 FTE. Otherwise defer Czech and retain Spain only.

KPI / cadence	Target or trigger	Owner / evidence
Incremental shipped units vs baseline weekly	Annualized run-rate supports the modeled +25% uplift before Czech release; report order counts and units, not raw extract rows.	BI + country managers; stable order_id / shipment definition.
Fulfillment savings per shipped unit weekly	≥€3.00 Spain; ≥€2.10 Czech (client assumptions used in model).	Operations Finance; compare actual nonrefundable fulfillment cost to central baseline.
Refund shock and return recovery monthly	Incremental refund amount ≤3% of gross sales for stress gate; track returned and restocked units separately.	Returns lead + Finance; preserve original sale-month FX and refund linkage.
Contribution after local recurring cost monthly	Annualized combined run-rate >€0 under stress; base case reference €198.1k/year.	CFO; actual COGS recovery only for restocked goods, less actual hub fixed cost.
On-time delivery to promised date weekly	Proposed operating guardrail: ≥5 percentage-point improvement vs the day-15 baseline by pilot exit; board may reset before launch.	Service lead; baseline is currently unavailable and must be measured before pilot.
Capex / staffing monthly	Cumulative ≤€225k for selected pair and ≤5 FTE; remain within overall €450k and seven-FTE board limits.	CFO + HR; commitment ledger and named hires.

If early data cannot separate a seasonal change from hub effect, continue the pilot and hold the Czech tranche. The 90-day gate is a capital-control decision, not proof of causality.

Provenance is strong for arithmetic, limited for causality

Reconciliation and exclusions

- 1,328 raw order rows across two pages and corrections → 13 exact duplicate rows removed, 18 lower revisions superseded, 1,297 unique order IDs selected.
- 2025 base: 1,254 shipped non-test orders. Excluded 24 cancelled/non-shipped records, 18 test orders and one 2026 shipment.
- 12 zero-price shipments were valid and retained as orders and units.
- 264 return rows → 20 exact duplicates removed, one lower revision superseded; 243 return IDs selected.
- 241 valid return IDs / 1,081 returned units included. One after-cutoff return excluded; one orphan quarantined (no guessed join).
- No missing calculation fields among eligible shipments; no unresolved same-revision conflicts. All country totals reconcile to 12 monthly records.

Evidence and limits

Synthetic client sources: frozen source-room order pages, corrections, returns, data dictionary, unit costs, hub options and scenario policy. The room records synthetic generation and seed; no live client account, customer interview or real sales records were accessed.

Public archived sources: [1] [World Bank population API response](#); [2] [World Bank current-USD GDP-per-capita response](#); [3] [ECB historical reference-rate archive](#).

Source-room archive retrieval is stamped 2026-09-27 06:36 UTC for official snapshots. World Bank responses report last updated 2026-07-13 and may include subsequent historical revisions. This analysis recollected the frozen files through the provided local source room at 2026-09-27 10:11 UTC. Per-file URL, collection time, SHA-256, period, units and status are in **deliverables/source_register.json**.

Limits that matter: no customer-level market sizing, postcode or service-time baseline, actual operating quote, headcount cost, facility lease, causal pilot, probability weights or discount rate is supplied. GDP per capita and population are not product demand. ECB references are not settlement rates. Returns after 31 Jan 2026 are absent. Scenario math is undiscounted, annual, additive and excludes synergy, tax, working capital, ramp, terminal value and central overhead. Do not read the base case as statistically established or causal.